

India Input Cost Inflation — Impact Analysis

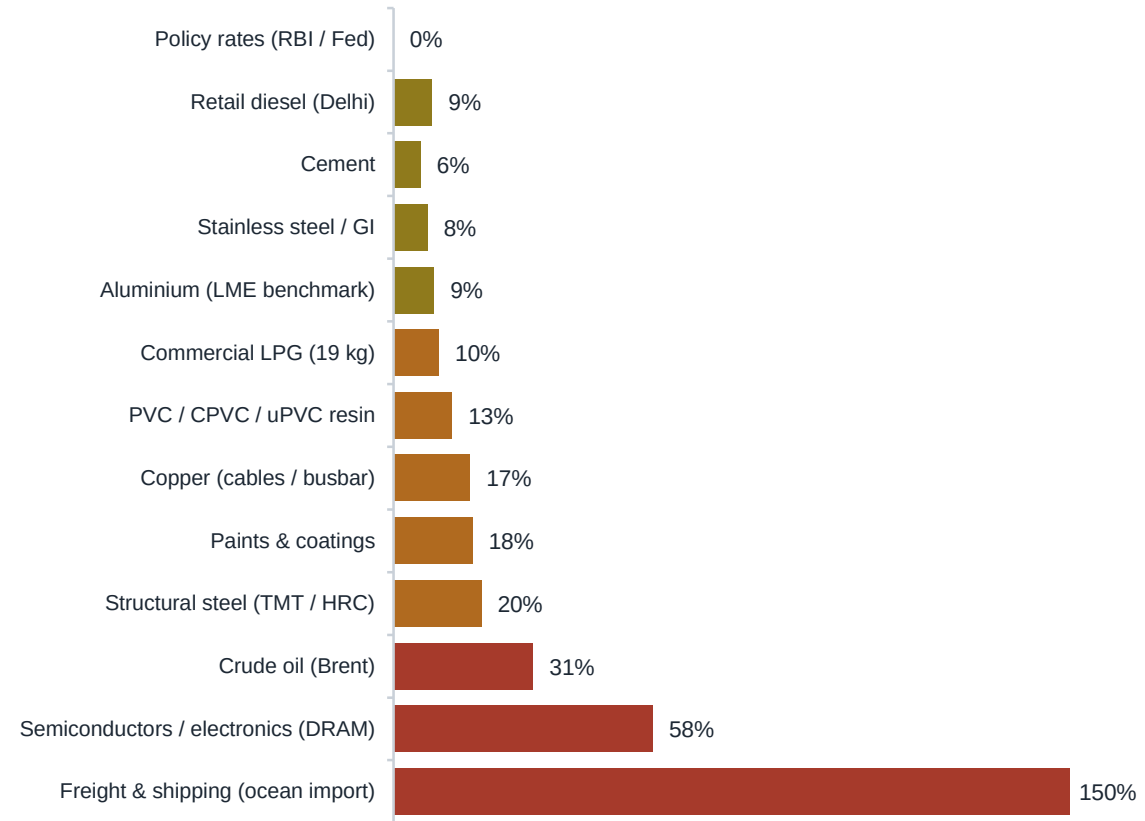
Cost-escalation review for construction / interiors / MEP works • Jan 2026 – 8 Sep 2026 • Compiled from public market sources

CLIENT / PROJECT	CONTRACTOR	BOQ DATE	EXECUTION WINDOW	BOQ VALUE	DATA AS OF
M/s Compass — Chennai	Riya Enterprises, New Delhi	29-Dec-2025	08-Jan-2026 → 01-Aug-2026	Rs. 2,64,99,120	08-Sep-2026

EXECUTIVE SUMMARY

- Feb 2026 US–Israel strikes on Iran and the Strait of Hormuz closure triggered the largest oil-supply shock on record — Brent crude peaked near \$126/bbl and is still +31% vs January at ~\$97/bbl (8 Sep).
- Ocean freight & war-risk insurance multiplied 2–3x; combined with India-side actions (steel safeguard duty, PVC import floor price, fuel/LPG hikes), almost every BOQ input category moved up.
- Independent of the war: a global copper supply squeeze pushed LME copper to an all-time record (\$14,617/t, +17% YTD), and an AI-driven memory/semiconductor shortage inflated electricals and control gear.
- No relief from financing costs — RBI held repo at 5.25% (raised FY27 inflation forecast to 5.1%) and the US Fed held at 3.50–3.75%, keeping working-capital cost elevated through the full execution window.

ESCALATION AT A GLANCE — % change, 1 Jan 2026 → 8 Sep 2026



Bars sorted high → low, headline benchmark change. Freight (+100–200%) and DRAM (+50–60% QoQ) shown at representative mid-points; full ranges & peaks in Slide 2. Green = unchanged.

Category-wise & Major Item-wise Cost Movement

Baseline (Jan 2026) vs current (latest available), with primary driver — sorted by category weight in BOQ

Category / Major Item	Jan 2026 Baseline	Current (Latest)	% Change	Primary Driver
Structural steel — TMT bars / HRC	Rs. 50,000–52,000/t	Rs. 60,300/t (Chennai)	+19–20%	Safeguard duty taper (12%→11.5%); Jan mill hikes; war-linked energy cost
Copper — cables, wires, busbars	~\$12,400–12,600/t	\$14,617/t (record)	+17%	Global supply squeeze; US refined-copper tariff risk; AI/grid demand
Freight & logistics — ocean + truck	War-risk 0.25% of hull	War-risk 3–10%; ocean +100–200%	High	Hormuz war-risk insurance surge; ME container rates above pandemic peak
Semiconductors / electronic components	Q4-2025 contract prices	Structural shortage (thru 2027)	DRAM +50–60% QoQ	AI datacentre demand diverting capacity; tariff front-loading
Crude oil (Brent) / Diesel	\$72–76/bbl; Diesel Rs. 87.67/L	\$97/bbl; Diesel Rs. 95.20/L	+31% / +8.6%	Hormuz closure after Feb-2026 Iran strikes; Sep Saudi facility attack
PVC / CPVC / uPVC resin	Rs. 80–85/kg (est.)	Rs. 93/kg (post-DGFT floor)	+13% (peak +40%)	Crude spike re-priced feedstock; DGFT minimum import price on S-PVC
Paints & coatings	Pre-war price lists	After 3 hike rounds	+15–20% (est.)	35–50% of cost is crude-linked (resins, solvents); 3 rounds of hikes
Commercial LPG (19 kg) — fabrication	Rs. 1,580.50	Rs. 1,740.50	+10.1%	OMC hikes tracking import-parity crude/LPG cost
Aluminium — partitions, extrusions	\$3,000–3,100/t	\$3,296–3,303/t	+8–10% (peak +24%)	Iran strikes on Gulf smelters (EGA, Alba); premiums +70%
Stainless steel / GI sheets & pipes	SS304 ~Rs. 2.10–2.14 L/t (est.)	India index \$2.43/kg	+5–10% (est.)	Nickel cost rise (Indonesia quota cuts); capped by QCO-exemption imports
Cement	Rs. 285–290/bag	Rs. 300–305/bag	+5–7%	Fuel (petcoke/coal), packaging & freight cost pass-through
Interest / working capital	RBI repo 5.25%; Fed 3.50–3.75%	Unchanged, hawkish bias	0 bps (no relief)	RBI raised FY27 inflation forecast to 5.1%; Fed held with hike dissents

BOQ Impact Mapping & Financial Exposure

Compass Chennai — BOQ dated 29-Dec-2025 | Total BOQ value: Rs. 2,64,99,120

Inflation Category	Change	Affected BOQ Package	Package Value (Rs.)
Structural steel	+19–20%	Structural Works Summary	77,32,263
PVC / CPVC / uPVC (PHE)	+13%	PHE package (supply + install)	51,15,957
Cement (masonry, plaster, RCC)	+5–7%	Civil MAS + PL + Structural (part)	23,49,366 +
Copper / Semiconductors	+17% / +50–60%	Electrical + PHE-VII control panel	15,75,488
Aluminium	+9% (peak +24%)	Civil MIS — partitions/extrusions	6,62,938
Paints & coatings	+15–20% (est.)	Civil PA package	1,85,762
Freight, LPG, crude/diesel	See Slide 2	Embedded across all packages (logistics/fab.)	—
Working capital / interest	0 bps (no relief)	Whole BOQ — financed over 7-month window	2,64,99,120
TOTAL BOQ VALUE		Civil & Interiors + Structural + PHE	2,64,99,120

KEY TAKEAWAYS

+19–20%

Structural steel — the single largest BOQ package (Rs. 77.3 L) — up on safeguard duty + war-linked energy cost

2–3x

Ocean freight cost, driven by Hormuz war-risk insurance; embedded in the delivered cost of every imported item

0 bps

Relief from RBI / US Fed — working capital carried at unchanged-to-hawkish rates for the full 7-month window

Claim quantum = Sum of [executed quantity x (invoice price – BOQ rate)] per item — this document establishes the macro price shock evidencing each claim head; item-level quantum must be computed from site invoices and executed measurements.

Data compiled from public market sources (Reuters, Mint, Business Standard, LME/exchange trackers, RBI/Fed records, CRISIL-class industry data). Verify latest figures before formal submission.